

A07 AI in BlockChain Module Reflections

Industry Overview

The finance industry is all about helping people and businesses manage their money. This includes banks, credit card companies, insurance companies, investment firms, and payment apps. They help people save money, borrow money, invest, and send or receive payments.

This industry is really important because almost everyone uses it every day. Whether you're using a debit card, paying bills online, or applying for a loan, you're using financial services. Since so much money is moving around every day, fraud is a big problem. That's why more companies are starting to use AI and blockchain. AI helps find fraud faster, and blockchain keeps a secure record of transactions that's hard to change.

Current AI Trends

One of the biggest ways AI is being used is to detect fraud. Banks and companies like Visa, Mastercard, and PayPal use AI to watch transactions as they happen. If something doesn't look normal, like a purchase in another country or someone spending way more than usual, AI can flag it right away. This helps stop fraud before more money is lost.

Another way AI is being used is with blockchain technology. Blockchain keeps a record of every transaction, and once it's there, it can't easily be changed. AI can look through all of that information and spot patterns that could mean fraud or illegal activity. Since blockchain records are more secure and easier to track, AI has better information to work with.

AI is also helping with customer service. A lot of banks now have chatbots that answer questions, help customers check their accounts, or solve simple problems without needing to talk to a real person. Some companies also use AI to give investment advice based on a customer's goals and spending habits. This saves time and helps customers get answers faster.

Ethical Implications

Even though AI is helping the finance industry, there are still some problems that come with it. One of the biggest concerns is privacy. AI needs access to a lot of personal financial information to work correctly. If companies don't protect that information, it could be stolen or used the wrong way. That's why keeping customer data secure is so important.

Another issue is fairness. AI learns from the information it's given, and if that information has mistakes or bias, the AI can make unfair decisions. For example, it might wrongly flag someone's purchase as fraud or make a bad recommendation because of the data it learned from. Companies need to keep checking their AI systems to make sure they're making fair decisions.

Job loss is another concern. As AI takes over more tasks like customer service and fraud detection, some jobs may not need as many workers anymore. At the same time, new jobs will be created for people who know how to build and manage AI systems. Workers will have to learn new skills to keep up with these changes.

I also think companies shouldn't let AI make every important decision by itself. If someone's loan gets denied or their account gets locked, there should still be a real person who can review what happened and explain why.

Future Trends

I think AI is going to become an even bigger part of banking over the next five to ten years. Fraud detection will probably get a lot better because AI will keep learning how to recognize new scams faster than people can.

I also think blockchain will be used by more banks because it creates a secure record of transactions that is hard to change. When AI and blockchain work together, it should make it easier to catch fraud and keep financial information safe.

More banks will probably use AI to give customers personalized advice about saving money, investing, and budgeting. Getting approved for loans or opening accounts may also become much faster because AI can process information in just a few minutes.

Even with all these improvements, companies will still have to focus on protecting customer information and making sure AI is being used fairly. Technology is great, but people should still be involved when important financial decisions are made.

My Reflection

The thing that surprised me the most was learning that blockchain isn't just for cryptocurrency like Bitcoin. Before this assignment, that's all I really thought it was used for. I didn't know banks could use blockchain together with AI to help detect fraud and make financial transactions more secure.

I think I would work in this industry because technology is changing it so much. It seems like there will be a lot of opportunities for people who understand both business and AI. At the same time, I think companies need to remember that AI is a tool to help people, not replace them completely. There will always be situations where human judgment is needed. Overall, I think AI and blockchain will continue making the finance industry safer and more efficient if they're used the right way.